

upside progress from the late 1700s for the United States has come to an end. This line is statistically valid, having had four precise touch points (and five close ones). Each time the United States was experiencing or was about to experience disastrous conditions, the line defining the basic rate of economic progress held fast. It held through the early Federal governmental crises, the War of 1812, the severe depression and gloom of the late 1850s, the Civil War, World War I, the post WWI inflation and subsequent deflation, the Great Depression and World War II. Now that the long term support line has been broken, we know that in economic terms, *the ongoing dilemma is bigger than any previous catastrophe in the history of the United States.*

[This] analysis supports the conclusion that a prolonged period of economic contraction has begun and that in general, the quality of life will continue to deteriorate substantially before the process of correction has run its course. As I see it, U.S. markets will be experiencing an overall sideways-to-declining trend *in real value* for at least thirty years and possibly as much as ninety years from the peak in 1965.

Remember, however, that *every* trend is interrupted by countertrend movements, and it is highly likely that several years in this decade will witness a period of temporarily improving conditions that will look like the “real thing” but which will ultimately give way to another sweeping downward wave to significantly lower depths. If a three-wave advance in the real value for stock prices does get underway, the Dow Jones Industrial Average could soar in terms of current (inflated) dollars and provide a tremendous vehicle for temporary speculative profits.

Thus, *The Elliott Wave Theorist* outlined exactly how the advance in the inflation-adjusted Dow would *differ* from that in the actual Dow. Today, over thirteen years later, not a word of that analysis needs to be changed. Wave B began six months later, in August 1982, and accompanied the actual DJIA in its “dramatic breakout to new all-time highs,” which provided “a tremendous vehicle for temporary speculative profits.” At this point, wave B has reached its upside target.

Targeting Wave B

A dozen years ago, the pattern in the inflation-adjusted DJIA even telegraphed its upside potential. As you can see in Figure 3-1, the smoothed annual figures (which were the only figures available